

6-5a Market Failure

International transaction costs tend to be higher than domestic transaction costs. Because laws and regulations are typically enforced on a nation-state basis, if one party from country A behaves opportunistically, the other party from country B will have a hard time enforcing the contract. Suing the other party in a foreign country is not only costly, but also uncertain. In the worst case, such imperfections are so grave that markets fail to function, and many firms choose not to do business abroad to avoid being “burned.” Thus, high transaction costs can result in market failure—the imperfections of the market mechanisms that make transactions prohibitively costly and sometimes make transactions unable to take place. However, recall from [Chapter 5](#) that there are gains from trade. In response, MNEs emerge to overcome and combat such market failure through FDI.